

**IN THE COURT OF PHALIT SHARMA,
ADDITIONAL SESSIONS JUDGE, GURUGRAM.
(UID No.HR0105).**

**In the matter of : SFIO Vs. Adarsh Build Estate and others.
CIS No. COMA-05-2019.
Date of order : 22.09.2021.**

Rajeev Kumar Rana Vs. Serious Fraud Investigation Office

**APPLICATION CANCELLATION OF THE NBW AND
EXEMPTION OF THE PERSONAL APPEARANCE OF
THE ACCUSED (A-177)**

Present: Shri Ajit Shrama and Shri Aakash Jangra, Advocate for the
applicant-accused Rajeev Kumar Rana (A-177)

Shri Harikishan Senior Public Prosecutor for SFIO
along with Shri L.S. Raghav Senior Standing Counsel.

ORDER:-

This order of mine will dispose of an application moved on behalf of applicant-accused Rajeev Kumar Rana (Accused No. 177), who is summoned vide order dated 03.06.2019 of learned Predecessor of this Court, to face trial for commission of offence punishable under Section 447 of the Companies Act, 2013, for cancellation of non-bailable warrant and exemption from personal appearance of applicant-accused Rajeev Kumar Rana.

2. The prosecution story, in brief, is that on the complaint of Serious Fraud Investigating Office against accused arrayed in the compliant, learned Predecessor of this Court had issued process against all the accused including the one as applicant before this Court, to face

(Phalit Sharma)
Additional Sessions Judge,
Gurugram (UID No.HR-0105)
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prosecution for commission of offences punishable under section 447 of the Companies Act, 2013 and other offences. After issuance of the process, since the accused did not appear including the applicant in question, initially bailable warrants and then warrant of arrest were issued w.e.f. 04.09.2019, which are still in execution under the latest order dated 08.09.2021 passed by undersigned. It is also matter of record that the applicant/accused had filed anticipatory bail on dated 17.12.2019 which was dismissed by learned Predecessor of this Court on dated 21.07.2020.

3. Learned counsel for the applicant/accused through the present application has prayed for cancellation of the warrant of arrest and to grant exemption to the applicant/accused Rajeev Kumar Rana (A-177), on the ground that since the applicant/accused was not arrested by the SFIO during its investigation which he participated and co-operated, now in view of the law laid down by Hon'ble apex Court in Sidharth versus State of Uttar Pradesh and another (Criminal Appeal No. 828-2021 dated 16.08.2021) and Amanpreet Singh versus CBI (Criminal Appeal No. 929-2021 dated 02.09.2021), the applicant/accused is not required to be summoned through warrant of arrest which is also not the requirement of Section 170 of Cr.P.C., as interpreted by Hon'ble apex Court in the quoted cases. He has further argued that in view of the law laid down by Hon'ble Apex Court in

Data Ram Singh versus State of Uttar Pradesh (2018) 3 SCC 22,
Arun Sharma versus Union of India and others, 2016 (3) RCR
Criminal 883, Court on its motion versus CBI 2006 (4) RCR
(Criminal) 206 (Delhi), once the applicant/accused was not arrested during investigation by the investigating agency, his presence through warrant of arrest is not required at post cognizance stage. He has further argued that some of the accused in SFIO cases have been granted anticipatory bail by Hon'ble Allahabad High Court vide order dated 24.08.2021 (Annexure-A5), by Hon'ble Apex Court vide order dated 18.08.2021, (Annexure-A6) and by Hon'ble Apex Court vide order dated 16.08.2021 to one of the accused in the present complaint (Annexure-A7) and to Mr. Vivek Hari Vyasi on dated 17.12.2020 (Annexure-A8), hence, the present applicant/accused be exempted from personal appearance after recalling and quashing the warrant of arrest issued against him. Finally, prayed to grant the relief as prayed.

4. On the other hand, learned Special Public Prosecutor has argued that the case of the applicant/accused is governed by Special statute i.e. Companies Act, 2013, Section 216 (6) of which lays down two specific conditions to grant bail which are mandatory in nature. He has further argued that in the instant case, the contentions so raised in respect of the applicant/accused not having been arrested during investigation, hence, cannot be arrested now even warrant of arrest are

in issuance against him, have already been dealt with and discarded by Hon'ble High Court of Punjab and Haryana in the matter **“Jainum Rathore Vs. State of Haryana and others” CRM-M-36693-2020, date of decision 13.11.2019** and also in case of **“Vijay Shukla versus Serious Fraud Investigating Officer CRM-M-24870-2020, date of decision 30.04.2021”**, after discussing law laid down in **Pankaj Jain Vs. Union of India and another (2018) 5 SCC 743, Court on its own motion Vs. State 2018 SCC online Delhi 12306, Narcotics Control Bureau Vs. Kishan Lal and others (1991) 1 Supreme Court Cases 705, Union of India Vs. Merajuddin (1999) 6 Supreme Court Cases 43, Supdt. Narcotics Control Bureau versus R.Paulsamy (2000) 9 Supreme Court Cases 549, Intelligence Officer, Narcotics Vs Sambhu Sonkar and another (2001) 2 Supreme Court Cases 562, T. Bijando Singh Vs. Md. Ibocha alias Kalam Shah (2004) 10 SCC 151, Union of India versus Shiv Shanker Kesari (2007) 7 Supreme Court Cases 798, Union of India Vs. Rattan Mallik alias Habul (2009) 2 Supreme Court Cases 624, State of Maharashtra Vs. Vishwanath Maranna Shetty (2012) 10 Supreme Court Cases 561, Satpal Singh versus State of Punjab (2018) 13 Supreme Court Cases 813, Serious Fraud Investigation Office Vs. Nittin Johari and antoher Criminal Appeal No. 1381-2019 (@ S.L.P. (Crl.) 7437 of 2019, State of**

Kerala and others Vs. Rajesh and others (2020) 12 Supreme Court Cases 122, He has further argued that this application as such is not maintainable before this Court as the request for anticipatory bail has already been dismissed by this Court on dated 04.09.2019 and request to challenge the same before Hon'ble High Court was withdrawn on 01.10.2019. He has further argued that the applicant/accused is not entitled to get the benefit of law relied because this Court is to see whether or not the specific legal provisions provided in a special statute are met or not, while granting relief to any of the accused summoned including applicant and such requirement is in addition to see the compliance of provisions of Code of Criminal Procedure in respect of arrest or trial. Finally, he has prayed to dismiss the request so made being devoid of merit.

5. This Court has heard learned counsels for both the parties and have also gone through the case file very carefully.

6. With due regards to the rival contentions of both the parties and facts on record, this court before commenting upon the request of the applicant/accused to recall warrants of arrest issued and to grant him exemption, would at the outset mention here that the applicant/accused has been summoned to face trial for commission of the offence punishable under sections 447 of the Companies Act, 2013 and the provisions with regard to bail to a person accused of commission of

such offence are specifically described in this special statute at Section 212 (6) of the Act. Sub section 8 of Section 212 speaks of powers of authorities under Company Act, 2013 to arrest.

For ready reference, Sections 447 and 212 (6) and 212 (8) of the Companies Act, 2013, are reproduced below:

Punishment for Fraud.

447. Without prejudice to any liability including repayment of any debt under this Act or any other law for the time being in force, any person who is found to be guilty of fraud ¹[involving an amount of at least ten lakh rupees or one per cent. of the turnover of the company, whichever is lower] shall be punishable with imprisonment for a term which shall not be less than six months but which may extend to ten years and shall also be liable to fine which shall not be less than the amount involved in the fraud, but which may extend to three times the amount involved in the fraud:

Provided that where the fraud in question involves public interest, the term of imprisonment shall not be less than three years.

Section: 212(6):

212[6] Notwithstanding anything contained in the Code of Criminal Procedure, 1973, 1[offence covered under section 447] of this Act shall be cognizable and no person accused of any offence under those sections shall be released on bail or on his own bond unless— [i] the Public Prosecutor has been given an opportunity to oppose the application for such release; and [ii] where the Public Prosecutor opposes the application, the court is satisfied that there are reasonable grounds for

believing that he is not guilty of such offence and that he is not likely to commit any offence while on bail:

Section: 212(8):

212(8) [If any officer not below the rank of Assistant Director] of Serious Fraud Investigation Office authorised in this behalf by the Central Government by general or special order, has on the basis of material in his possession reason to believe (the reason for such belief to be recorded in writing) that any person has been guilty of any offence punishable under sections referred to in sub-section (6), he may arrest such person and shall, as soon as may be, inform him of the grounds for such arrest.

The above described provisions particularly Section 212(6) and Section 212(8) make three things clear. Firstly, the competent authority under the Companies Act may arrest a person guilty of any offence punishable under sections referred in Sub Section 6. Secondly, an accused for commission of an offence covered under Section 447 of the Companies Act, 2013, shall be released on bail only if both the conditions mentioned in this Sub Section are duly met with. Thirdly, the provisions to grant bail enshrined under Section 212 (6) of the Act, 2013, are independent of the provisions provided in Code of Criminal Procedure.

8. Now the question arises whether this Court has power to recall order of issuance of warrant of arrest of the applicant/accused in the manner it is prayed by relying upon the law referred to?

Before this question is answered, it is to be seen whether non arrest of the applicant/accused at the stage of investigation which he joined, would entitle him to claim that he cannot be arrested once the process is issued through warrants of arrest even if his request for anticipatory bail was rejected and also when he has not been appearing before the court despite issuance ofailable warrants or warrants of arrest in this case registered under Companies Act, 2013?

Our Hon'ble High Court to deal with such like situation has already opined in case titled as **Jainum Rathod versus State of Haryana and others : CRM-M-36693-2019**, date of decision **13.11.2019**. The relevant paragraphs of the judgment are reproduced below:

“On the other hand, learned Asstt. Solicitor General of India, appearing for SFIO, has argued that the fact that the investigating officer had not arrested the petitioner during the investigation is totally inconsequential. Referring to the provision of [section 212\(8\)](#) of the new [Companies Act](#), learned counsel appearing for SFIO has submitted that the provision itself speaks of the words investigating officer 'may arrest' such a person. Hence it is clear that it is the discretion of the investigating officer,

whether to arrest the person or not; of course he has to satisfy the statutory condition; if he so desire to effect the arrest. However, even if there are reasons to believe that such a person is guilty of the offence under the [Companies Act](#) and even if the investigating officer had the necessary material to support the allegations against such person, investigating officer may not arrest such a person, keeping in view various other factors, including the co-operation during the investigation and any undertaking by such a person that he would be appearing before him or before the court, as and when he is required. However, that does not mean that such a person has got a right to be released on bail, in case the charge-sheet is filed against such person and he is produced or appears before the court. Once a person facing the charge-sheet appears before the trial court or he is brought before the court, thereafter it is for the Court to take a call on custody of the accused. If the court finds it appropriate to release such a person on bail, keeping in view the facts and circumstances of the case, then he may be released on bail. However, if the court comes to the conclusion otherwise, then court may send the person to the custody during the pendency of the trial. Just for example, learned Counsel for the SFIO has submitted that even [section 437 Cr.P.C.](#) contemplate such a situation; where a person appears before a Magistrate and such a person is accused of the offences specified

*therein, then there is a prohibition in that provision that such a person is to be released on bail, unless the Magistrate had some special reasons for granting bail. Elaborating further it is submitted that even where there is prohibition against the grant of the bail, law contemplates situations where the court can grant bail if there are some special reasons for doing so. Hence it is submitted that; by no means; the right to be released on bail can be a right of the accused, rather, the mandate of the law is clear that whether an accused is arrested during investigation or not, the question of granting the bail to a person accused of an offence is to be finally decided only by the Court. In the present case, the Special Court has considered all the aspects and has declined bail to the petitioner. The court below has exercised its statutory discretion. The petitioner has not been able to find fault with this exercise of discretion by the court below. Relying upon the judgment of the Supreme Court in **Serious Frauds Investigation Office V/s Nitin Johari 2019 SCC Online 1178**; and drawing parallel therewith, learned Counsel for SFIO has submitted that merely because the petitioner had himself appeared before the court after the charge-sheet was filed against him or merely because he was granted interim bail, in the first instance, does not mean that the bail cannot be denied to the petitioner during the pendency of the trial or that such person cannot be taken into custody. Question*

*of bail still has to be considered and decided by the court as per the relevant and applicable factors. It is, accordingly, submitted by the Counsel that in case of **Nitin Johari (Supra)** also, though the charge-sheet had been filed and the High Court had granted bail, yet the Supreme Court set aside the order of the High Court and remanded the matter to the High Court for fresh consideration, by considering the relevant factors. Had this been the valid proposition of law; that when the charge-sheet stands filed and accused appear before the court; then the petitioner cannot be taken into custody, then the Supreme Court would not have sent the matter back to the High Court for reconsideration; which could have very well; led to denial of bail in that case.*

*Still further, relying upon the judgment of the Supreme Court rendered in **Pankaj Jain V/s Union of India and another, 2018 (5) SCC 743** and another judgment of Delhi High Court in case of **Court on its own Motion V/s State, 2018 SCC Online Del 12306**, counsel for the SFIO has submitted that [section 88](#), Cr.P. C. itself gives discretion to the court. That section itself uses the word 'may'. Hence there is no question of an accused getting automatic right to bail if he appears before the court pursuant to the summons issued by a court. As submitted above, and as clarified by the judgments of the Supreme Court mentioned herein above, it is the discretion of the court whether to grant bail to the accused or not. In case of **Pankaj Jain***

(Supra) even the judgment in case of **Dalip Singh (Supra)**, being relied upon by the petitioner, has been considered by the Supreme Court. Therefore, while considering the question of bail to the accused, the court has to take into consideration the relevant factors; meant for consideration of the bail with reference to the provision under which the accused is sought to be prosecuted, besides the other factors, as has been specified by the judicial pronouncements from time to time.

This court has heard the learned Counsel for the parties at length and has perused the record xxxxxxxx

First of all, although it is much stressed by the counsel for the petitioner that since he was not arrested during the investigation by the investigating officer and he himself had appeared before the trial court on receipt of summons from that court, therefore, he is entitled to bail during the trial, as a matter of right under [Section 88](#) of Cr.P.C., however, this court does not find any substance in the arguments raised by the Counsel for the petitioner. Chapter VI of [Cr.P.C.](#) wherein the [section 88](#) is contained; itself speaks that it deals with 'Processes to compel appearance'. Even a co- joint reading of the provisions contained in this chapter shows that it is restricted to the aspect of bringing a person to the door of the court; and nothing more. The provisions of this chapter does not have anything to do with release of a person on bail as such. Rather; the provisions of this chapter are neutral to the status of a person as an 'accused', as a 'witness', or simply as only a 'person

present in the court'; without any legal capacity qua trial as such. The sections included in this chapter do not even use the word 'accused', except in some sections relating to a person, who has already avoided ordinary process of the summons or warrant and therefore; is to be dealt with through the proceedings for proclamation. Hence; this chapter is prescribing simply the procedure for ensuring the presence of a person before the court, whether as an accused or as a witness. Once a person is brought to or appears before the court; it is for the court to deal with the person in accordance with the procedure prescribed under the [Cr.P.C.](#) If the person is called by the court through the above prescribed procedure as a witness ; then he shall be dealt with the procedure meant for a witness. But if such a person is called by the court through the above prescribed procedure as an accused, then he shall be dealt with under the provisions relating to the 'bail', prescribed elsewhere in [Cr.P.C.](#). Nothing much can be read in [section 88](#) Cr.P.C. to argue that if a person is present before the court then he has can be required only to execute bonds or furnish surety only, and that he cannot be taken into custody. Needless to say; that this section is included in part 'D' of the Chapter and relates to 'Other rules regarding processes'. The sections contained in parts preceding this part, contemplate a graded exercise of power and discretion by the court for compelling appearance of the person before it, by issuing summons, bailable warrant and preferably only thereafter the issuance of the non-bailable warrant. However, [section 87](#) of the Cr.P.C.

creates an exception to this general procedure and empowers the court to issue warrant of arrest in the first instance itself; if it is of the opinion of the existence of the factors mentioned in this section. Likewise, [Section 88](#) contemplates a general provision for making sure that a person whom the court has already called through the summons or warrant or whom the court considered appropriate to remain present in subsequent dates; can be bound down for such appearance. In fact, this section is more in the nature of inclusive power of the criminal court to seek presence of any person connected with the case, in any manner whatsoever, even if such person may not be mentioned in the case; either as an accused or as a witness. This provision is intended to include even those persons who may be present before the court by chance or who might be watching the proceedings as such. Even if a person is otherwise present before the court, the court may ask such a person to execute the bonds or the securities for his appearance in future. The only requirement is that court requiring such bonds and sureties must, otherwise, have a power to issue summons or warrant against that person. That means that even the 'chance presence' of a person before a criminal court can lead to his being bound down for appearance in future, if the court considers his presence as relevant to the case, either as an accused or as witness or otherwise. This strand of general power of the court, qua 'chance presence' is not restricted only to [Section 88](#) of the Cr.P.C. This power is available to the criminal court throughout the proceedings of the trial and at all stages

*thereof. Besides power of asking to furnish the bonds or sureties for appearance; under [section 88](#), similar power is found in [section 311](#) Cr.P.C.; where the court can require the deposition as witness from any person in attendance of the court, though such a witness may not have been cited as a witness by either side. Not only this, [section 319](#) Cr.P.C. also empower the court to add any person in attendance of the court as an additional accused in the trial, if in the opinion of the court such person is required to be added as an accused as per the standards prescribed for such addition. Hence, under [Cr.P.C.](#); a criminal court always have a power to deal with a person, who is otherwise present in the court; maybe even by chance. [Section 88](#) is only one manifestation of such power of the criminal court; at the stage of compelling appearance of such a person before the court. Although the counsel for the petitioner have relied upon the judgment of the Supreme Court rendered in case of **Data Ram (Supra)**, however, this court finds the said judgments to be totally distinguishable on the particular facts of those cases vis-à-vis the facts of the present case and was not followed in the subsequent case of **Pankaj Jain (Supra)** case. The [section 88](#) Cr.P.C itself uses the word 'may', with no further duty cast upon the court to necessarily grant bail to the accused person. Hence there is no question of an accused getting automatic right to bail if he appears before the court pursuant to the summons issued by a court. As observed above, and as clarified by the judgments of the Supreme Court mentioned relied upon by the counsel for the*

SFIO, it is the discretion of the court whether to grant bail to the accused or not. In case of Pankaj Jain (Supra) even the judgment of this court in case of Dalip Singh (Supra), being relied upon by the petitioner, has been considered by the Supreme Court and it has been held that question of grant of bail is primarily a matter of judicial discretion of the court and not any right of the accused.

Although learned Counsel for the petitioner has also raised an allied argument on the same lines, by submitting that question of 'Bail' would arise only if a person is first arrested by the investigating officer and then he is brought before the court, and further that if a person himself has appeared before the court; pursuant to the summons issued by the court, then he is not to be sent to the custody, rather, he should be released on bail by asking him to furnish the bonds/sureties under [section 88](#) of Cr.P.C. However, this court does not find any substance even in this allied argument. xxxxx

A bare reading of the language of [sections 436](#) and [437](#) of the Cr.P.C. show that these sections provide for dealing with bail not only of those persons who are arrested by the investigating officer during the 36 of 82 investigation, but also provide for dealing with bail to that person who 'appears or is brought before the court'. It is a different matter whether such a person would get the concession of bail or not, depending upon the facts and circumstances of the case. But mere fact that the investigating officer had not arrested the accused during the investigation is, ipso facto, no ground to exclude the

discretion of the court in the matter of grant of bail. Such an argument not only tends to make discretion of the court subservient to the discretion of the Investigation Officer in the matter of bail to the accused, but also is in direct negation of language of [section 436](#) and [437](#) of the Cr.P.C. Only [section 439](#) contemplates a person being arrested and being in custody for being considered for grant of bail by a Sessions Court or High Court. However, even this section provides that even if such a person is released on bail, these courts can order such a person to be taken into custody again, depending upon the facts and circumstances of the case. Hence mere fact that a person was not arrested during the investigation, in itself, is totally irrelevant so far as a claim of the accused to get bail in a particular case, as a matter of right, is concerned, although this fact may have some relevance qua some other factors which may be relevant for exercise of discretion by the court for granting bail to such a person. However, such indirect relevance in the facts of the present case would be assessed by this court in succeeding paras, at another place.

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Therefore, despite the fact that the investigating officer may have arrested a person during the investigation, the Court may grant him the bail during the pendency of the trial; on its appreciation of the evidence filed in the charge-sheet. On the contrary, the Trial Court may not grant any bail to the accused, on the

appreciation of the material placed before it in the form of the charge-sheet, despite the fact that the accused was not arrested by the investigating officer even in the face of the availability of the same material before him.....XX....”

9. It is worth to mention here that this judgment of our Hon’ble High Court dated 13.11.2019, was upheld by Hon’ble Apex Court in **“SLP (Criminal) 11765 of 2019, date of decision 27.01.2020”**. Our Hon’ble High Court further in case titled as **“Vijay Shukla versus Serious Fraud Investigating Officer, CRM-M-24870-2020, date of decision 30.04.2021”**, while discussing the legal sanctity of Section 212 (6) of the Companies Act, after having relied on the verdict of Hon’ble Apex Court (3 Judges Bench) passed in case titled as **Serious Fraud Investigation Office versus Nittin Johari and another Criminal Appeal No. 1381-2019 (@ S.L.P. (Crl.) 7437 of 2019**, has observed in the following manner at various relevant paragraphs reproduced below:

*6. Learned Senior Counsel for the petitioner has further argued that In **Nikesh Tarachand Shah Vs. Union of India : 2018(2) R.C.R.(Criminal) 232**, Hon'ble Supreme Court declared [Section 45](#) of the Prevention of Money Laundering Act, 2002, which was *pari materia* to [Section 212\(6\)](#) of the Companies Act, 2013, to be unconstitutional due to being violative of Articles 14 and 21 of the Constitution. Petition 5 of 40 challenging constitutional validity of [Section 212](#) (6) of the [Companies Act](#), 2013 is pending before Hon'ble Supreme Court. Twin conditions imposed by [Section 212](#)*

(6) of the [Companies Act, 2013](#) for release on bail being arbitrary, unreasonable and violative of Articles 14 and 21 of the Constitution of India are ultra vires thereto and being liable to be ignored can not be invoked to deny bail to the petitioner.

8. Learned Senior Counsel for the petitioner has alternatively argued that rigors of [Section 212](#) (6) of the [Companies Act, 2013](#) apply only to the case of the accused who is arrested during investigation. Since in the present case the petitioner was not arrested during investigation, rigors of [Section 212\(6\)](#) of the Companies Act, 2013 are not attracted to his case.

9. Learned Senior Counsel for the petitioner has also placed reliance on judgments of Division Bench of this Court CRM-M 28490 of 2015 titled as Dalip Singh Mann and another Vs. Niranjana Singh, Assistant Director, Director of Enforcement, Govt. of India decided on 01.10.2015 and CRM-M 28452 of 2015 titled as Gurpreet Kaur @ 11 of 40 Gurmeet Kaur Vs. Niranjana Singh, Assistant Director, Director of Enforcement, Govt. of India decided on 01.10.2015 in which rigors of [Section 45\(1\)\(ii\)](#) of the Prevention of Money Laundering Act, 2002 were held to be attracted only while considering the bail plea of an accused who has been arrested by the Enforcement Directorate under [Section 19](#) of the the Prevention of Money Laundering Act, 2002.

10. Learned Senior Counsel for the petitioner has further argued that in the eventuality of the twin conditions laid down in [Section 212](#) (6) of the [Companies Act, 2013](#) being held applicable to the case of the petitioner, the same have to be toned down to see only the probability of conviction of the petitioner.”

28. In the present case the petitioner has been summoned vide order dated 03.06.2019 passed by learned Sessions Judge, Gurugram to face trial under [Sections 58-A, 211\(7\), 227 and 628](#) of the Companies Act, 1956, [Sections 74\(3\), 147, 447 and 448](#) of the

Companies Act, 2013 and [Section 477-A](#) of the Indian Penal Code, 1860.

30. By virtue of power conferred by [Section 212\(8\)](#) of the Companies Act, 2013 the Director, Additional Director or Assistant Director of Serious Fraud Investigation Office authorized in this behalf by the Central Government by general or special order can arrest any person whom he believes on the basis of material in his possession and for reasons to be recorded in writing to be guilty of any offence punishable under sections referred to in [Section 212\(6\)](#) of the 26 of 40 [Companies Act](#), 2013 but use of word 'may' in [Section 212\(8\)](#) of the Companies Act, 2013 by the Parliament makes it discretionary for him to arrest or not to arrest such person and it is not mandatory for him to arrest such person. Therefore, the mere fact that the petitioner was not summoned or arrested by the Investigating Officer during investigation does not entitle the petitioner to grant of bail. Reference for judicial precedents in this regard may be made to Jainam Rathod Vs. State of Haryana (P&HHC) : 2020 (1) RCR (Criminal) 241 and Raj Kumar Modi Vs. Serious Fraud Investigation Office : (2019) SCC Online P & H 4987 (Punjab and Haryana High Court).

31. The question of bail is primarily a matter of judicial discretion and not any right of the accused. The question of grant of bail to the accused has to be decided by the Court on the facts and circumstances of the case in accordance with the provisions regarding grant of bail contained in Chapter XXXIII of the [Cr.P.C.](#) and the relevant statute creating the offence and well settled principles guiding exercise of judicial discretion.

40. Admittedly, petition challenging constitutional validity of [Section 212\(6\)](#) of the Companies Act, 2013 is pending before Hon'ble Supreme Court but mere pendency of the petition challenging constitutional validity of the same does not make the said statutory provision inoperative and does not exclude applicability thereof to the case of the petitioner.

42. In view of the fact that [Section 212\(6\)](#) of the Companies Act, 2013 is *pari materia* to [Section 37\(1\)\(b\)](#) of the Narcotic Drugs and 31 of 40 [Psychotropic Substances Act](#), 1985, the judicial precedents considering the scope and effect thereof are relevant in considering the scope and effect of [Section 212\(6\)](#) of the Companies Act, 2013.

46. Accordingly, the question of grant of anticipatory bail to the petitioner has to be considered in conformity with twin conditions laid down in [Section 212\(6\)](#) of the Companies Act, 2013. Even otherwise the question of grant of bail to the petitioner has to be decided by advertent to the principles governing grant of bail under [Section 438](#) of the Cr.P.C. and taking into consideration the fact that offences alleged to have been committed by the petitioner fall in the category of serious economic offences.

49. Since the first condition laid down in [Section 212 \(6\) \(ii\)](#) of the [Companies Act](#), 2012 for release on bail is not satisfied the petitioner is not entitled to grant of anticipatory bail even if in view of the fact that the petitioner does not have any criminal antecedents, the second condition be considered to be satisfied that the petitioner is not likely to commit any offence under the [Companies Act](#), 2013 after his release on bail. Even otherwise, the case involves serious economic offences affecting large number of individuals from low and middle income groups and also adversely affecting the national economy. **The offences under the Companies Act, 2013 are required by the said Act itself to be treated as serious economic offences and constitute a class apart.** For judicial precedents in this regard reference may be made to **judgment of Delhi High Court in Nitin Johari Vs. Serious Fraud Investigation Office 2020 SCC Online Del 394 (Delhi High Court) 38 of 40 whereby on reconsideration regular bail was denied to Nitin Johari and order of Hon'ble Supreme Court in Special Leave to Appeal (Criminal) No. 2539/2020 dated 16.07.2020 titled as Serious Fraud Investigation Office Vs. Nitin Johari (Supreme Court) whereby Special leave petition filed against**

the same was dismissed and judgments of Coordinate Bench of this Court in Jainam Rathod Vs. State of Haryana (P&HHC) : 2020 (1) RCR (Criminal) 241 and Raj Kumar Modi Vs. Serious Fraud Investigation Office : (2019) SCC Online P & H 4987 (Punjab and Haryana High Court) whereby regular bail was denied to co-accused on the ground of offences involved being serious economic offences. In the present case in view of nature of serious economic offences involved the petitioner does not deserve grant of anticipatory bail.

51. In view of the above-referred facts and circumstances of the case, serious nature of the economic offences involved, nature of accusation against and role attributed to the petitioner who is alleged to have signed and filed financial statements which were false in material particulars and also omitted material facts, there being no reasonable ground to believe that the petitioner has not committed offence under [Section 448](#) punishable under [Section 447](#) of the Companies Act, 2013, I am of the considered view that the petitioner does not deserve grant of anticipatory bail.”

10. Perusal of the above described law with regard to interpretation of provisions of Section 212(6) and 212(8) of the Act, 2013, makes it clear that a special statute has to be interpreted in the manner, its object is and further that special statute will prevail over the general law of the land with regard to its special provisions. If this be the legal position, this Court is of the view that present application for recall of warrants of arrest is devoid of merit because until and unless the applicant/accused meets the requirements of Section 212 (6) of the Companies Act, 2013, to get oneself bailed out, he cannot expect

this Court to recall an order which legally it cannot in the facts and circumstances of this case governed by a special statute. In fact, this application for recall of order of warrants of arrest is moved in a camouflaged manner to get the relief of bail without complying with the provisions of Section 212 (6) of the Companies Act, 2013 because warrants of arrest could only be recalled against an accused if later gets oneself bailed out either by getting anticipatory bail or after surrendering gets regular bail or gets the order of warrants of arrest quashed on legal side from the Higher Court. There is no other way out to ask for recalling of issuance of warrants of arrest as long as the accused concerned is alive.

11. The reliance of learned counsel for the applicant/accused on the law laid down Arun Sharma's case (supra), Court on its own motion's case (supra), Data Ram's case (supra), is not available to get the relief prayed in view of the observations of our Hon'ble High Court passed in the cases discussed above while deliberating upon the intent of Sections 212 (6) and 212 (8) of the Act. Similarly, if Hon'ble Apex Court has granted some relief to some accused in SFIO cases in interim form, the benefit of the same also is not available to applicant-accused as Hon'ble apex Court has granted the relief them while exercising its extra ordinary powers, whereas this Court is to deal with the application under consideration having in mind the conditions laid

in Section 212(6) of the Act, 2013. The law laid down by Hon'ble Apex Court in Sidharth's case or in Amanpreet's case (supra) are also not available to the applicant/accused as in Amanpreet's case or in Sidharth's case Hon'ble Apex Court was not dealing with an issue under Section 212 (6) of the Companies Act, 2013, a special statute independent from the provisions of Cr.P.C., as far as procedure to grant bail is concerned. Otherwise also, in Amanpreet's Hon'ble Apex Court had commented upon the right of the accused not to be arrested while interpreting the provisions of Section 170 of Cr.P.C., in a case involving offences under Indian Penal Code, which is not the case under consideration. Similarly, in *Sidharth's case (supra)* Hon'ble Apex Court was dealing with an issue of grant of anticipatory bail of the accused not involved in any offence under Companies Act, 2013, whereas in the case in hand, the applicant/accused without reference to provisions of Section 212 (6) of the Companies Act, 2013, in a camouflaged manner expecting this Court to grant him the relief which an accused while on bail deserves.

12. In view of the foregoing discussion, having due regards to the law cited for the applicant/accused, this Court is of the view that the present application so filed is nothing but misuse of process of law to get the relief which this Court legally cannot grant.

13. As a sequel to my abovesaid findings, the present application for cancellation of warrant of arrest is hereby dismissed.

Papers be tagged with the main file.

Pronounced in open court.

Dated : 22.09.2021.

Rakesh SG-I

(Phalit Sharma)

Additional Sessions Judge,

Gurugram. [UID No.:HR0105].

Note: Certified that this judgment consists of twenty five pages (25) pages and each page has been checked and signed by me.

Dated : 22.09.2021.

(Phalit Sharma)

Additional Sessions Judge,

Gurugram. [UID No.:HR0105].

(Phalit Sharma)

Additional Sessions Judge,

Gurugram (UID No.HR-0105)

22.09.2021.